

5. WEHBE v. CARDINAL FINANCIAL CO., L.P., ET AL., 25CV0635**OSC Re: Preliminary Injunction**

On May 12, 2026, plaintiff Anthony Wehbe (“plaintiff”) filed a motion for preliminary injunction enjoining defendant Cardinal Financial Company, LP (“defendant”) from proceeding with the foreclosure sale of plaintiff’s real property currently scheduled for June 17, 2026.

On May 26, 2026, defendant Cardinal Financial Company, LP (“defendant”) filed a timely opposition. On June 5, 2026, plaintiff filed a timely reply.

1. Background

Plaintiff owns and resides in the real property located at 2265 Sierra House Trail in South Lake Tahoe, California. He purchased the property in November 2022 by obtaining a loan against the property from defendant in the amount of \$674,500. On February 27, 2024, ServiceMac, LLC (“ServiceMac”), the servicer of the loan on behalf of defendant, sent plaintiff written notice that he was in default on the loan. (Wehbe Decl., Ex. 2.)

On April 4, 2024, ServiceMac sent plaintiff an assistance/modification packet. (Wehbe Decl., ¶ 5(c).) Plaintiff declares he completed the documents in good faith but, without completing the review process, ServiceMac closed plaintiff’s assistance file and demanded payment, while also telling plaintiff he could not pay without completing modification. (Wehbe Decl., ¶ 5(d).) Plaintiff claims he was required to “restart” the entire modification process with defendant. (Wehbe Decl., ¶ 5(e).) Plaintiff provided all required documentation but received a notice dated June 26, 2024, stating his application was considered incomplete. (Wehbe Decl., ¶ 5(e) & Ex. 4.)

On July 3, 2024, defendant sent plaintiff a letter stating the loan was in default for breach of the loan terms. (Nguyen Decl., Ex. E.) Specifically, the letter states plaintiff “gave materially false, misleading, or inaccurate information or statements to the Lender. The Borrower falsified a divorce decree, child support payments, and bank

statements during the loan origination process which constitutes a default under the Note and Security Instrument and entitles [defendant] to declare the entire indebtedness immediately due and payable.” (Nguyen Decl., Ex. E.) As of July 3, 2024, the amount needed to cure the default was \$704,092.20. (Nguyen Decl., Ex. E.)

On July 16, 2024, defendant sent plaintiff an email stating that the package he submitted was deemed complete. (Wehbe Decl., Ex. 5.) Hours later, however, defendant sent plaintiff another email stating defendant had closed review of plaintiff’s request for assistance. (Wehbe Decl., Ex. 6.) In a letter from defendant, also dated July 16, 2024, defendant informed plaintiff he was not eligible for any loss mitigation options to retain his home. (Nguyen Decl., Ex. B.)

On July 30, 2024, plaintiff sent defendant an email stating he would like to make one monthly payment “asap.” (Wehbe Decl., Ex. 8.)

On July 31, 2024, defendant responded that it would only accept the full amount due on the loan. (Wehbe Decl., Ex. 7.) Defendant stated the details as to why it was calling the loan due was explained in its July 3, 2024, letter. (Wehbe Decl., Ex. 7.) Defendant’s email goes on to state, “[W]e want to advise you that this was one of the reasons why your request for mortgage assistance was denied. We apologize that this was not disclosed to you previously and have taken steps to ensure this is better communicated in the future.” (Wehbe Decl., Ex. 7.)

On August 5, 2024, plaintiff submitted an appeal of defendant’s July 16, 2024, denial of plaintiff’s application for loan modification. (Nguyen Decl., Ex. C.) Plaintiff indicated he had a change of circumstances and was now collecting income that would provide him sufficient funds to resume mortgage payments. (Nguyen Decl., Ex. C.)

On August 20, 2024, defendant sent plaintiff a letter denying his appeal, explaining there was no change of circumstance included in the information attached to plaintiff’s appeal. (Nguyen Decl., Ex. D.)

Over a year later, on December 22, 2025, defendant recorded a notice of default. (Nguyen Decl., Ex. F.) A foreclosure sale is currently scheduled for June 17, 2026.

2. Request for Judicial Notice

Pursuant to Evidence Code section 452, subdivision (c), the court grants defendant's unopposed request for judicial notice of Exhibit A (recorded deed of trust) and Exhibit B (recorded notice of default).

3. Legal Principles

"As its name suggests, a preliminary injunction is an order that is sought by a plaintiff prior to a full adjudication of the merits of its claim. [Citation.]" (*White v. Davis* (2003) 30 Cal.3d 528, 554.) The purpose of such an order is to preserve the status quo pending a determination on the merits of the action. (*Id.*, at p. 553; *Continental Baking Co. v. Katz* (1968) 68 Cal.2d 512, 528.)

Code of Civil Procedure section 526 provides for an injunction in the following cases:

"(1) When it appears by the complaint that the plaintiff is entitled to the relief demanded, and such relief, or any part thereof, consists in restraining the commission or continuance of the act complained of, either for a limited period or perpetually. [¶] (2) When it appears by the complaint or affidavits that the commission or continuance of some act during the litigation would produce waste, or great or irreparable injury, to a party to the action. [¶] (3) When it appears, during the litigation, that a party to the action is doing, or threatens, or is about to do, or is procuring or suffering to be done, some act in violation of the rights of another party to the action respecting the subject of the action, and tending to render the judgment ineffectual. [¶] (4) When pecuniary compensation would not afford adequate relief. [¶] (5) Where it would be extremely difficult to ascertain the amount of compensation which would afford adequate relief. [¶] (6) Where the restraint is necessary to prevent a multiplicity of judicial proceedings. [¶] (7) Where the obligation arises from a trust." (*Id.*, subd. (a).)

A ruling on an application for a preliminary injunction is not an adjudication of the ultimate rights in the controversy. It merely represents the trial court's discretionary decision whether the defendant should be restrained from exercising a claimed right pending trial. (*Cohen v. Bd. of Supervisors* (1985) 40 Cal.3d 277, 286.) "In deciding whether to issue a preliminary injunction, a trial court must evaluate two interrelated factors: (i) the likelihood that the party seeking the injunction will ultimately prevail on the merits of [their] claim, and (ii) the balance of the harm presented, i.e., the comparative consequences of the issuance and nonissuance of the injunction." (*Common Cause v. Bd. of Supervisors* (1989) 49 Cal.3d 432, 441–442 [fn. omitted].) "The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction. [Citation.]" (*Butt v. State of Cal.* (1992) 4 Cal.4th 668, 678.) However, "[a] trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim." (*Ibid.*)

4. Discussion

Plaintiff's complaint alleges defendant violated Civil Code sections 2923.5 and 2923.7, and Business and Professions Code section 17200.³

4.1.1. Civil Code section 2923.5

Civil Code section 2923.5 requires a mortgage servicer to contact a borrower to assess their financial situation and explore options to avoid foreclosure before recording a notice of default. Defendant recorded its notice of default on December 22, 2025. (Nguyen Decl., ¶ 14 & Ex. F.) The record shows that defendant communicated with plaintiff in 2024 regarding potential loan modification. Plaintiff submitted at least one

³ Plaintiff's motion for preliminary injunction also claims defendant violated Civil Code sections 2923.6, 2924.11, and 2924.17. (Mtn. at 5:2–3.) However, the complaint does not include any cause of action for violating these sections. Therefore, the court does not consider them in the instant motion.

loan modification application and appealed defendant's July 16, 2024, decision to deny plaintiff's application.

Moreover, the recorded notice of default includes a declaration of compliance dated December 22, 2025, stating in relevant part, "Pursuant to the attached Declaration, the mortgage servicer declares that it has contacted the borrower, tried with due diligence to contact the borrower as required by California Civil Code § 2923.55 or § 2923.5, or is otherwise exempt from the requirements of § 2923.55 and § 2923.5." The declaration attached to the notice of default is signed under penalty of perjury, dated December 9, 2025, and states in relevant part: "The mortgage servicer has tried with due diligence to contact the borrower as required by California Civil Code § 2923.55(f) as in effect at the time of outreach but has not made contact despite such due diligence. The due diligence efforts were satisfied on 03/11/2025."

Based on the above, the court finds that plaintiff is not likely to prevail on this claim.

4.1.2. Civil Code section 2923.7

Plaintiff claims defendant violated the requirement that a mortgage servicer provide a borrower a single point of contact for discussions regarding foreclosure prevention alternatives if the borrower requests one. (Civ. Code, § 2923.7.)

Although plaintiff's complaint alleges he requested a single point of contact, the complaint is unverified. A judge may grant a preliminary injunction at any time before judgment on a verified complaint, verified cross-complaint, or declarations showing satisfactorily that sufficient grounds exist for the injunction. (Code Civ. Proc., § 527, subd. (a); *Gillies v. JP Morgan Chase Bnk, N.A.* (2017) 7 Cal.App.5th 907, 913.) Plaintiff's declaration in support of his motion for preliminary injunction includes no statement that he requested a single point of contact.

Even if plaintiff were to provide evidence that he requested a single point of contact, defendant has submitted evidence that plaintiff was in breach of the loan agreement due to allegedly providing false information to obtain the loan. Therefore, any violation

of the single point of contact requirement under Civil Code section 2923.7 would appear to be immaterial. (Civ. Code, § 2924.12, subd. (a)(1) [“If a trustee’s deed upon sale has not been recorded, a borrower may bring an action for injunctive relief to enjoin a *material* violation of Section 2923.55, 2923.6, 2923.7, 2924.9, 2924.10, 2924.11, or 2924.17.” (emphasis added)].)

Based upon the information before this court, the court finds that plaintiff is not likely to prevail on this claim.

4.1.3. Business and Professions Code section 17200

Plaintiff’s claim of unfair business practices is premised on the alleged violations of Civil Code sections 2523.5 and 2523.7. Having concluded that plaintiff is not likely to prevail on the underlying claims, the court also concludes plaintiff is not likely to prevail on the unfair business practices claim.

The court recognizes that the potential interim harm to plaintiff is significant. However, because plaintiff has not established a reasonable possibility of prevailing on the merits of any of his claims, the court must deny the request for a preliminary injunction. (*Choice-in-Education League v. Los Angeles Unified School Dist.* (1993) 17 Cal.App.4th 415, 422.)

TENTATIVE RULING # 5: THE MOTION FOR PRELIMINARY INJUNCTION IS DENIED. NO HEARING ON THIS MATTER WILL BE HELD (*LEWIS v. SUPERIOR COURT* (1999) 19 CAL.4TH 1232, 1247), UNLESS A NOTICE OF INTENT TO APPEAR AND REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT’S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 573-3042 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. NOTICE TO ALL PARTIES OF AN INTENT TO APPEAR MUST BE MADE BY TELEPHONE OR IN PERSON. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.